ARCHR Public Funding Sub-Grantee Agreement

This Sub-Grantee Agreement ("Agreement") is entered into as of **[Effective Date]**, by and between **Asheville Area Habitat for Humanity**, a North Carolina nonprofit corporation with its principal office located at **33 Meadow Rd., Asheville, NC** ("Grantee"), and **ARCHR Partner Organization**, a North Carolina nonprofit corporation with its principal office located at **[Sub-Grantee Address]** ("Sub-Grantee").

Recitals

WHEREAS, the Asheville region was included in the major disaster declaration for Hurricane Helene;

WHEREAS, damage to owner-occupied dwellings from the storm has impacted the housing stability of thousands of low-income homeowners;

WHEREAS, multiple nonprofit organizations providing low- or no-cost home repair services for income-qualified homeowners in the Asheville region entered into a voluntary coalition—the Asheville Regional Coalition for Home Repair (ARCHR)—to improve communication, collaboration, and reduce burdens on low-income families seeking home repairs;

WHEREAS, ARCHR is an unincorporated association of home repair programs employing a unified intake, assessment, and project management process to provide comprehensive and efficient repairs to residents in need;

WHEREAS, ARCHR Partner Organizations ("Partner Organizations") are 501(c)(3) nonprofit organizations in the Asheville metropolitan area providing home repair services to low-income residents and signatories to the MOU in **Exhibit A**;

WHEREAS, Partner Organizations have authorized Asheville Area Habitat for Humanity to seek and administer funds on behalf of ARCHR;

WHEREAS, Asheville Area Habitat for Humanity ("Grantee") has received funding to support disaster home repair projects in the Asheville metropolitan area completed by ARCHR Partner Organizations ("Sub-Grantee"); and

WHEREAS, Sub-Grantee has the capacity and expertise to implement specific components of the Project;

WHEREAS, Grantee desires to engage Sub-Grantee, and Sub-Grantee agrees, to perform tasks related to the Project under the terms and conditions set forth herein.

Terms and Conditions

1) **Scope of Work:** Sub-Grantee shall repair damage to owner-occupied primary residences caused by Hurricane Helene for low-income households (<80%AMI or

<200% of federal poverty level). Repairs may be conducted on site-built, modular, or manufactured homes.

Sub-Grantee is responsible for managing the day-to-day operations of home repairs and addressing performance issues as they arise.

In executing Disaster Repair Projects, Sub-Grantee, will:

- Determine eligibility of program applicants;
- Develop with the homeowner a mutually agreed upon scope of work;
- Conduct site visits, prepare work specifications, complete repair work, and perform periodic inspections to ensure work is done according to local zoning and development regulations and North Carolina State Building Code standards;
- Maintain records of applicant income verification, as well as invoices and expenses for work performed, for reimbursement;
- Refer clients to other housing and community services if needs extend beyond the scope of the program;

2) **Term:** This Agreement shall commence on **[Start Date]** and terminate on **[End Date]**, unless extended or terminated earlier as outlined herein.

3) **Conditions:** During the term of this Agreement, the parties shall:
a) Maintain their 501(c)(3) public charity status;
b) Ensure all business licenses, state filings, and tax filings remain in good standing;
c) Raise funds or generate revenue to cover costs not funded under this Agreement;
d) Maintain records of all revenues and expenses related to the Agreement;
e) Provide regular financial reports on Project activities;
f) Maintain General Liability insurance and provide certificates upon request; and
g) Communicate regularly and assign a primary point of contact to ensure smooth collaboration.

4) **Fund Management**
   a) **Use of Funds:** Funds provided under this Agreement must be used exclusively for the Project. Any reallocation requires prior approval by Grantee.
   b) **Accounting Standards:** Grantee must maintain fiscal records in compliance with generally accepted accounting principles.
   c) **Restricted Fund:** All funds received for ARCHR shall be held and managed by Grantee, restricted for the Project.
   d) **Shared Cost Allocation:** To offset Grantee's support costs for ARCHR, 10% of all revenue received will be allocated to Grantee's general fund upon receipt. AAHH and ARCHR Partner Organizations may periodically assess the Allocation Rate to ensure equitable value exchange. Budgets for all funding proposals submitted on behalf of ARCHR shall, where feasible, include funds to cover the Allocation Rate**.**

e) **Interest:** Interest earned on funds shall accrue to Grantee unless restricted by donor terms.
f) **Variance Power:** Grantee retains the variance power to treat restricted funds as its asset per generally accepted accounting principles (GAAP).

5) Compensation and Payment

a) **Payment Amount:** Grantee shall provide Sub-Grantee with funds not exceeding $50,000 per completed project.
b) **Payment Schedule:** Sub-Grantee shall submit reimbursement requests with required documentation for eligible expenses. Payments will be made on the last Friday of month for requests submitted by the third Friday of same month. For projects exceeding $10,000, progress payments up to 50% may be requested.
c) **Reimbursement Requirements:** Grantee will reimburse the Sub-Grantee for costs related to approved Project activities. Recipient agrees to provide appropriate supporting documentation for all expenditures. No funds will be disbursed until all required documentation is received and approved by grantee. Any alterations to the approved use of funds require prior review and approval by Grantee.
d) **Expenditure Limits:** Subgrantee cannot spend or commit funds beyond its ability to pay. AAHH, at its discretion, may advance funds to subgrantees for work with committed but unreceived funding.
e) **Eligible Costs:** Sub-Grantee warrants that funds will be used only for eligible costs incurred related to the Project and agrees to reimburse Grantee for improperly expended funds.

6) Reporting and Monitoring

a) Sub-Grantee shall complete and submit ***monthly*** progress reports, including a narrative summary of activities and outcomes, with each reimbursement request to AAHH during the term of the agreement. Progress reports shall include the project budget, demographics and outcome report on forms provided by AAHH. The narrative report will provide information about successes and challenges in program delivery.

b) Sub-Grantee shall maintain comprehensive records and provide access to Grantee or its designee for monitoring and evaluation. Records must be retained for at least three years after project close-out.

7) Compliance: Sub-Grantee shall comply with all applicable federal, state, and local laws, including non-discrimination and financial management regulations.

8) Indemnification: Sub-Grantee shall indemnify and hold harmless Grantee, its officers, employees, and agents from claims, liabilities, and expenses, including legal fees, arising from Sub-Grantee's performance under this Agreement.

9) Legal Action: As soon as the Sub-grantee becomes aware of an actual or potential claim or dispute that may involve legal action related to the Sub-

grantee or ARCHR PARTNER ORGANIZATIONS, the Sub-grantee must immediately inform the Grantee, in writing or email, of the claim or dispute.

10) Insurance and Liability: The parties assure that all persons handling funds received or disbursed under this Agreement are covered by fidelity insurance in an amount consistent with sound fiscal practice.

a) Sub-Grantee shall maintain required insurances, including:
   i) Workers' compensation coverage at the statutory limits,
   ii) Employer's liability coverage with policy limits of $500,000.
   iii) General liability ($1,000,000 per occurrence, $2,000,000 aggregate); and
   iv) Automobile liability ($1,000,000).

(c) Sub-grantee shall provide the Grantee with certificates of insurance before commencing. The certificates shall provide that policies shall not be canceled or changed until thirty (30) days written notice has been given to the Grantee.

(d) All liability certificates shall name Grantee as additional insured.

(e) Sub-grantee shall verify that all subcontractors maintain insurance meeting the requirements stated herein, and during the term of the contract, Sub-grantee shall ensure that Grantee is an additional insured on insurance required from subcontractors.

11) Termination

a) **For Cause:** Either party may terminate this Agreement upon 30 days' written notice if the other fails to cure a material breach. If termination occurs, Sub-grantee shall be entitled to equitable compensation for all satisfactory work completed.

b) **For Convenience:** Either party may terminate this Agreement for convenience upon 30 days' written notice.

12) Miscellaneous

a) **Independent Contractor:** Sub-Grantee is an independent contractor and not an employee or agent of Grantee.

b) **Amendments:** Amendments must be in writing and signed by both parties.

c) **Governing Law:** This Agreement is governed by North Carolina law.

[*Signature Page to Follow*]

IN WITNESS WHEREOF

The parties have executed this Agreement as of the Effective Date.

Asheville Area Habitat for Humanity

By:  eSigned by: 04/17/2025 @ 14:31 UTC

Name: Andy Barnett

Title: Ceo

Date: 04/17/2025

ARCHR Partner Organization

By:  eSigned by: 04/01/2025 @ 19:30 UTC

Name: Vicki S Heidinger

Title: Executive Director

Date: 04/01/2025

Exhibits

- Exhibit A: ARCHR MOU

Exhibit A: ARCHR MOU

Memorandum of Understanding (MOU)
among ARCHR (Asheville Regional Coalition for Home Repair) Partner Organizations

ARCHR Partner Organizations

- Asheville Area Habitat for Humanity (AAHH)/Backbone Organization
  33 Meadow Rd., Asheville, NC 28806
- PODER Emma (PE)
  528 Emma Rd, Asheville, NC 28806
- Mountain Housing Opportunities (MHO)
  64 Clingman Ave. Suite 101, Asheville, NC 28801
- Community Action Opportunities (CAO)
  25 Gaston St., Asheville, NC 28801
- Asheville-Buncombe County Community Land Trust (ABCLT)
  825 Merrimon Avenue Suite C PMB #141, Asheville, NC 28804

Background
The Asheville Regional Coalition for Home Repair (ARCHR) focuses on streamlining the home repair and accessibility programs serving low-income Western North Carolina (WNC) residents. ARCHR is an unincorporated association of Asheville area home repair providers established to increase communication and collaboration among organizations, and to decrease the burden on low-income households seeking home repair and modification services. ARCHR works with historically excluded individuals, including older adults, low-wage earners, households of color, families with children, and people with disabilities to remain in their homes by addressing their health, safety, and accessibility home repair needs.

The formation of ARCHR has been underway for several years and much of the developmental work has been completed by AAHH. AAHH worked with various entities to develop a software platform for centralized client intake, data storage,

and project management. AAHH has secured grants for the development work and continues to identify, secure, and manage grant funding for ARCHR projects. This work has led AAHH to serve as the backbone organization and fiscal sponsor for ARCHR.

Purpose
This Memorandum of Understanding (MOU) establishes a cooperative partnership between ARCHR Partner Organizations to ensure that Partner Organizations serving approved families have a mutual understanding of requirements, roles, and goals for a successful collaboration.

Mission
ARCHR harnesses the power of collaboration to provide dignity-affirming Home Repair to low-income residents of Western North Carolina.

Vision
By placing ourselves in collaboration rather than competition, ARCHR models a stronger collective power to positively impact more community members.

Partner Organization Approval
Any new Organization outside of Asheville Area Habitat for Humanity, PODER Emma, Mountain Housing Opportunities, Community Action Opportunities and Asheville-Buncombe Community Land Trust will need majority approval by current ARCHR Partner Organizations before being admitted into ARCHR. As the backbone organization, AAHH has the ability to control the number of organizations operating within the coalition.

Partner Organization Requirements
1. Maintain 501-C3 Non-Profit public charity status.
2. Service area includes Buncombe County but may include adjacent counties in WNC.
3. Ensure all business licenses, state filings, and tax filings remain in good standing.
3. Provide Scope of Services in alignment with ARCHR goals.
4. Operational and project funding independent of ARCHR collaborative sources.
5. Maintain records of all revenues and expenses related to the MOU.
6. Appropriate levels of liability and workman’s comp insurance required by grants.
7. Communicate regularly and assign a primary point of contact to ensure collaboration.

Roles and Responsibilities
1. Backbone Organization

- **AAHH serves as initial backbone organization for ARCHR**

- AAHH will serve as a temporary backbone organization as long as feasible while working to identify a permanent outside organization to serve the role.
    - AAHH will create and maintain necessary software platforms and technology.
    - AAHH will determine ARCHR annual budget with input from partner organizations.
    - AAHH will secure and manage grant funds for ARCHR.
    - AAHH will handle ARCHR backbone personnel decisions.
    - AAHH will serve as fiscal sponsor for awards from public and private outside agencies. AAHH will collaborate with ARCHR Partner Organizations to ensure seamless communication regarding funding opportunities and requirements, while respecting client confidentiality and adhering to applicable privacy laws.

2. ARCHR Partner Organizations

- **ARCHR Partner Organizations provide no-cost/affordable services for qualified residents to include, but not limited to:**
    - Home repairs.
        - Needed structural and systems work, no cosmetic-only work.
    - Weatherization and efficiency upgrades.
        - Includes HVAC repair/replacement
    - Aging-in-place and accessibility modifications.

- **Collaboration with ARCHR Partner Organizations**
    - Partner Organizations will work together as needed to ensure that approved families have access to a comprehensive range of benefits and services.
    - Respect the confidentiality of all families served through this partnership.
    - Regularly communicate to assess the progress and success of the partnership.
    - Provide mutual support in areas of outreach and education for families seeking home repair and accessibility services.
    - Regularly attend ARCHR partner organization meetings.

- Provide complete, timely and accurate data entry into Airtable platform.
- Operate in a professional and respectful manner while providing services and participating in meetings.
- Collaborate to make any necessary changes/additions to MOU.

- **Reporting**
    - Maintain complete and accurate records for all residents served.
    - Maintain complete and accurate financial records of all completed projects.
    - Provide complete and accurate pricing on invoices presented to AAHH for payment.

Mutual Understanding
This MOU does not create any legally binding obligations between the parties, but it does represent a commitment to the mission of providing low-income homeowners and their families with access to housing repairs and accessibility modifications.

Decision Making
ARCHR Organizations must have at least one designated representative participating on the Operations Team and/or Leadership Team. The Operations Team focuses on pipeline and project related activities within ARCHR. The Leadership Team focuses on organizational strategy, policy and finances, and Leadership Team representatives must staff at a Director level. All decision making at the Operations and Management levels will be done by Modified Consensus.

Confidentiality
All Parties acknowledge it may be necessary to disclose certain confidential and proprietary information in order to perform responsibilities under this MOU. All parties acknowledge that any disclosure to any third party or misuse of proprietary and confidential information could irreparably harm the other party. Accordingly, all Parties will not disclose or use, either during or after the term of this agreement, any proprietary or confidential information of a Party to this agreement without that Party's prior written permission except to the extent necessary to perform services on behalf of the other Party.

Duration and Modification
This MOU will be effective as of the signature date and will remain for one year. It may be extended or modified by mutual written agreement. Either party may terminate this MOU with [30] days' written notice.

Signature Certificate

Document completed by all parties on 04/17/2025 @ 10:31 EDT

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Signer	Signature
Andy Barnett abarnett@ashevillehabitat.org Received: 03/28/2025 @ 09:36 EDT Viewed: 04/17/2025 @ 10:29 EDT Signed: 04/17/2025 @ 10:31 EDT	 IP: 166.182.85.206 Location: null, TN, United States
Vicki Heidinger vicki.heidinger@ar4ca.org Received: 03/28/2025 @ 09:36 EDT Viewed: 03/28/2025 @ 22:42 EDT Signed: 04/01/2025 @ 15:30 EDT	 IP: 75.131.173.56 Location: Weaverville, NC, United States

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